AgriVision4U

AgriVision4U
Agriculture Under Single Roof

Consulting Business Models

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CHAPTER 1:

Identifying agriculture consulting models

Agriculture consulting is a vast field with **non-uniform client requirements** from case-to-case basis. Unlike other areas of consulting, agriculture consulting firms and businesses are typically not very structured. In most cases the business model evolves over time for the firm.

Then the question is **What differentiates agribusiness consulting firms from one another?** This question can be answered in multiple ways, agriculture consulting models can be differentiated bases on:

- Target segment (Selection of clients)
- Revenue models
- Size or scale of projects
- Expertise (Focus area in the value chain)
- Scale of Organization

This report will discuss models calssified on all of the above 5 heads

TARGET SEGMENT

1. Government

There are large scale government funded projects that need implementation and are often extended to consultants or consulting agencies for their roll out. Projects like establishment of a mega food park in a state or a DPR on shrimp processing and many more are advertised by the government for both long- and short-term duration. Following are certain type of project work required in the government assignments-

- DPR Curation
- Presentation
- Social impact analysis
- Development sector projects (mostly)
- Business planning and feasibility analysis

2. Large agribusiness companies

Consultancies that target large agribusiness companies are focused on building capacities by driving efficiencies, fuelling growth, shaping industries, and increasing organizational effectiveness. These consultancies use proprietary tools and digital and advanced analytics capabilities, combined with extensive experience are the cornerstones of the value they bring to their clients.

Following is the type of projects that can be expected from large agribusiness companies-

- Business growth strategy

- Internal restructuring
- Mergers and Acquisitions

3. Small agribusiness (Entrepreneurs/SMEs/FPOs/FPCs/NGOs/Researchers)

Small agribusiness organizations also require consultancy services but at a smaller scale and for more grassroot level business needs. Farmer Producer Organizations, NGOs etc. Are not expected to have high turnovers and revenues thus the projects are also mostly average budgeted and short duration.

The projects might include

- Funding strategies
- Business scaling –up
- DPR for new initiative projects

4. Individual farmers

Individual farmers are the last leg of the target segment-based classification of consultancy services. This segment would call for small budgeted and highly customised projects. High amount of detail and personal involvement is required in such projects. The Dehaat model of farmer consulting or simply the kisan call centres are examples of individual farmer consulting services. The projects might include -

- Production techniques
- Farm management
- Layout and landscaping
- Scientific advisory

REVENUE MODELS

1. The Time-Based Model

This is one of the more traditional consulting business models - where your rate, terms, and scope of work are outlined at the very beginning of the project. Typically, with this model you would choose a day rate or an hourly rate.

2. The Project-Based Model

With a project-based model, you and your client agree on the scope of work you will be performing for a set amount of money. There is typically a contract in place which covers the deliverables and expectations from both parties.

3. The Retainer-Based Model

The retainer model involves providing ongoing service for your clients over a specific period of time. You may not provide a specific deliverable for your client, but instead, a broad scope of work over a set period.

4. The Consulting-Firm Model

This model is becoming more and more popular. The consulting firm model involves hiring freelancers or employees to complete work for your clients on your behalf. Typically, in this situation, you still manage the relationship with the client, but you delegate some or all of the work to your

SIZE OF PROJECTS

1. **Small – Upto 50 Lacs**

Small scale projects are generally small in terms of the geography and population targeted, also they are short term in nature. The consultancies that take up such projects are classified under this head and are often of a niche nature. Consulting firms taking up only small-scale projects are mostly in their initial stage of operations and take up projects from small organizations or individuals like FPOs, entrepreneurs etc.

2. **Medium – 50 lacs to 5 Crore**

The number of consultancies specially in India falling under this bracket would be the largest as the medium size projects are frequently released. These consultancies take projects from government agencies and medium sized organizations.

3. **Large – Over 5 Crore**

The large-scale projects are mostly released by government agencies or large agribusiness firms, these projects are heavily financed, involve multiple stakeholders and are long term in nature. Consultancies falling under this head are large companies mostly MNCs and have a large work force to take up projects of massive scale.

EXPERTISE

Most consultancy firms prefer to be largely generalists so as to attract more projects and specially in the agriculture consulting domain there are very few specializations where opportunities are many. Following are some domains which can be focus areas for expert consultancies –

1. Procurement and setup

The focus area for these consultancies is the initiation process for any project, venture or activity. It may also include procurement of raw material in the most efficient way. Projects like DPR on cost reduction in manufacturing of XYZ product etc. Can be examples in this area.

2. Corporate Strategy and Digital Transformation

This area focuses on helping specialty companies implement precision agribusiness strategy, or other corporate level changes and create future strategy for an agricultural product makers, marketers and traders

3. Technology

Technology support projects are another huge market in today's value chains. Most businesses today are moving are becoming digital so it is a great opportunities to render professional guidance through the transitional projects.

4. Mergers and Acquisitions

The post-merger integration of a major companies like those in the seed and agricultural chemical markets with global conglomerates call for consulting strategies.

5. Supply Chain

Consultancies facilitate the commercialization of crop marketplace and logistics for an agricultural technology company and so on. This helps companies use the most cost and time efficient supply chains. There are many perishable products traded in the agriculture domain so many businesses and entrepreneurs require strategies to move products through their value chain in a safe way thus consulting services having expertise in the domain guide these firms.

6. Marketing and end user support

There are consultancies that have expertise in the CRM and marketing of products and thus help firms and individuals curate the best sales, marketing and post sales strategies. This also may include digital and social media marketing.

SCALE OF ORGANIZATION

The scale of the organization is a smooth continuum where it is not very suitable to define it in quantitative terms. Scale of the Consulting firm is largely to do with the scale of projects it takes so there maybe firms taking only large-scale projects or those that might operate of more small-scale projects. There are also firms that take medium size projects or a mix of all types of projects.

To begin with firms and start-ups are generally small scale as they have lesser expertise, manpower and reach. As firms grow, they take larger projects and thus move from the small, medium to large scale firms. This scale is developed over time and firms gain value to become consulting giants.

Small scale firms generally are more efficient in project management and implementation while large scale organizations have numerous stakeholders in the process and thus final implementation might fall off the control of the main organization. Organizational scale has a lot to do with the age of functioning of the firm and the expertise.

Large scale organizations will take more of government or large business projects that would be long term in nature like action plan for cleaning the river ganga or setting up of a large sugar refining unit whereas the small-scale firms will largely deal with projects concerning small organizations or individuals like FPO's setup or DPR for an Organic farm management.

CHAPTER 2:

Some existing models

KRISHIKA
ADVISORY SERVICES
WE MAKE THINGS HAPPEN FOR YOU

Brief of org

Krishika aims to help farmers by providing them free crop lifecycle advisory and high-quality farm inputs at competitive prices. Krishika is present physically and digitally. The Krishika Kisaan Marts are physical fulfilment centres that are stocked with farm inputs like Seeds, Fertilizers, and Pesticides, and Agri-implements. The e-Mart app is an assisted e-commerce platform which enhances our reach to cover a larger number of farmers in an asset light yet effective manner.

Type of projects

Investment and banking projects, business restructuring, project advisory.

Expertise

Financial risk advisory and farm advisory

Brief of org

KPMG professionals provide audit, tax and advisory services to agriculture-based organizations, from suppliers and producers to processors and distributors. Clients draw on their deep industry experience and extensive technical resources to achieve profitable growth and obtain a fresh perspective on augmenting decision making and internal capabilities.

Type of projects

Large scale projects like designing and implementing the Irrigation channels for efficient water use in XYZ village

Expertise

Irrigation management, Agriculture Supply chain.

Figure: KPMG Business Model

DeHaat™

Brief of org

Dehaat functions as a one stop solution service provider and works on the small- medium scale consulting. With a robust technology, DeHaat aspires to improve the transparency and efficiency in the Agri value chain for various stakeholders such as Agri processors, retailers, Agri input companies, government, and financial institutions. DeHaat focuses on transaction-related data at the farmers' level to become a one-stop destination for millions of farmers globally.

Currently, more than 325,000 farmers are registered with 1000+ DeHaat micro-entrepreneurs and are getting direct access to quality Agri inputs (from UPL, DuPont, Bayer, etc.), advisory (from our panel of esteemed scientists and advisors), and market (to ITC, Godrej, Reliance, Metro, etc.) of value more than INR 3.5 Cr/month in Bihar, U.P and Odisha. As per their Social Media update, DeHaat is targeting to reach out to 1000,000 farmers through 3000+ DeHaat centres by March'2023.

Type of projects

Small to medium scale;

Expertise

Farm inputs and marketing

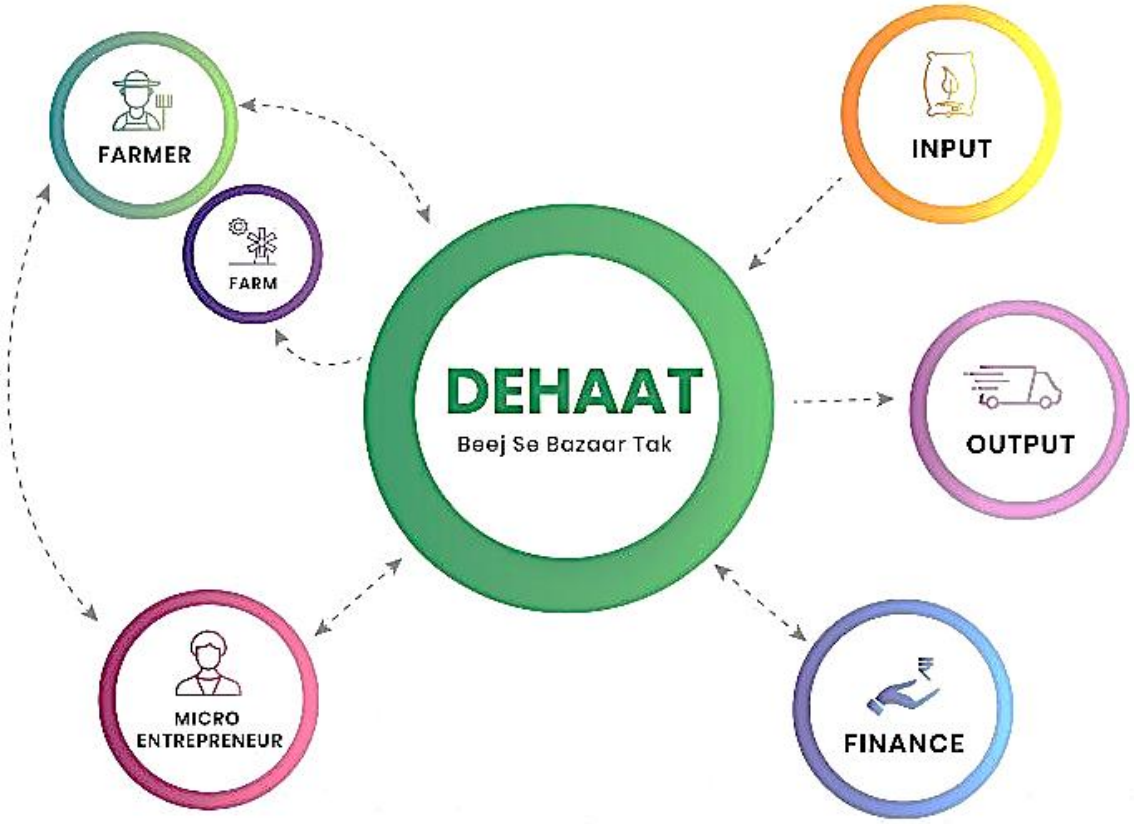

Figure: Dehaat Business Model

Freelancers

Brief of org

Freelancers function as a brad themselves and mostly outsource any additional expertise needed for project completion. They receive projects based on their subject matter expertise and reputation. They deal with all types of projects and are mostly the planning heads. They hire teams for conducting ground level surveys and reporting. They participate in project biding or are invited for projects based on connections.

Type of projects

Ranging from DPR preparation to Surveys and detailed business plans. Eg. Business plan for apple exporting firm, DPR for implementing Check dam project in XYZ area etc.

Expertise

Depending on their field of work.

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